

# ACCI-Westpac Business Survey Q1 2026

#manufacturing



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Manufacturing conditions continued to accelerate in early 2026 as the Westpac-ACCI Actual Composite lifted to 59.3 in Q1 from 54.7 in Q4, its strongest result since September 2023. However, this largely pre-dates the latest conflict in the Middle East, which threatens to unwind much of the long-awaited improvement in conditions.



- Manufacturing conditions continued to accelerate in early 2026. The Westpac-ACCI Actual Composite lifted to a fresh cycle high of 59.3 in Q1 from 54.7 in Q4, its strongest result since September 2023. Underpinning the move was a surge in output growth, another solid lift in new orders, renewed expansion in employment and increased use of overtime.
- Such outcomes had been long foreshadowed by the Westpac-ACCI Expected Composite, which for some time was running well above the Actual Composite, reflecting very bullish expectations on the outlook from local manufacturers. The latest result suggests that the long-awaited improvement in conditions has finally arrived.
- Indeed, official evidence shows that a genuine upswing in consumer spending is underway, supported by a recovery in real household disposable incomes. At the same time, dwelling construction is expanding at a robust pace and there are nascent signs that business investment is developing a broader base.
- Exports also continue to perform well, with a net 20% of firms reporting an increase in Q1. Solid demand for Australian agriculture goods, notably beef, across the US and Asia has supported rural goods exports, and while US tariff policy remains a risk, uncertainty has eased and its overall impact has been limited.
- That said, there are still numerous risks to bear in mind. Following the recent lift in inflation, the outlook for official interest rates has shifted materially – moving higher near-term, and remaining there for longer than previously expected over 2026 and 2027.
- Additionally, this survey was largely in the field prior to the recent developments in the Middle East. While Westpac's analysis suggests a 'base case' scenario of a short-lived disruption will lead to a sharp but temporary lift in headline inflation, price pressures will be varied. Australian manufacturing, particularly refining and metal processing sectors, is exposed to upside risks around energy costs given its high energy intensity at around 88¢ spent on energy per dollar of gross value added. This is important given the starting point is already elevated for unit cost pressures.
- One of the more encouraging results was on employment, where a net 12% of firms reported an increase. This marks a welcome shift away from the two years of readings that were consistent with moderate job shedding, a trend that was also evident in official labour market data. That said, labour continues to be cited as "harder to find" versus three months ago by a net 28%, and on a relative basis, labour is cited as the single factor most limiting production by 24% of respondents.
- The accelerated expansion in output this quarter was met with a greater proportion of manufacturers operating at above average levels of capacity. Although firms are more optimistic on prospects for future hiring, the binding constraints of labour and materials may tighten capacity, hampering the ability of some firms to meet an increase in demand.

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